25901632 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCCOM100 - INDIAN SECURITIES MARKET : STRUCTURE AND OPERATIONS

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. An unsecured debenture means..... [U] / [CO1]

   a). debenture secured by assets of the issuing company

   b). debenture which can be converted

   c). a debenture not backed by assets of the company

   d). a debenture without interest

2. Which of the following is a finacial asset? [U] / [CO1]

   a). Gold

   b). Silver

   c). Land

   d). Share

3. Any asset which holds capital and can be traded in the market is refered to as ..... [U] / [CO1]

a). Financial asset
b). Financial market
c). Real Asset
d). Financial instrument

4. Which of the following is or are the various sub markets of financial markets? [U] / [CO1]

a). Derivatives market
b). Foreign exchange market
c). Debt Market
d). All of the other options

5. Underwriters in the primary market: [An] / [CO2]

a). Ensure the sale of securities
b). Set the IPO price
c). Trade in secondary markets
d). Act as investors

6. In a fixed price issue, what is disclosed in advance? [U] / [CO2]

a). Final Issue Price
b). Price Band
c). Subscription Rate
d). Market Premium

7. Which of the following is NOT a characteristic of the primary market? [An] / [CO2]

a). Direct selling of securities to investors
b). Trading of existing securities
c). Raising fresh capital
d). Facilitated by investment banks

8. Which of the following Acts governs public issues in India? [An] / [CO2]

a). Income Tax Act, 1961
b). Banking Regulation Act, 1949
c). Companies Act, 2013
d). Foreign Exchange Management Act (FEMA)

9. Private placements are often preferred over public offerings because: [U] / [CO2]

a). They are more expensive
b). They involve fewer regulatory requirements
c). They have unlimited investors
d). They require mass advertising

10. Which of the following trading mechanisms is used for quick and frequent trading within a single day? [U] / [CO3]

a). Delivery trading
b). Futures trading
c). Intraday trading
d). Options trading

11. CDSL stands for [U] / [CO3]

a). Central Securities Depository Limited
b). Central Stock Depository Limited
c). Central Depository Services Limited
d). Central Digital Securities Limited

12. Which indian stock exchange has played a large role in the growth of derivatives trading within India? [U] / [CO3]

a). Bangalore Stock exchange
b). Bombay Stock Exchange.
c). National Stock Exchange.
d). Ahmedabad Stock exchange.

13. What does BSE stand for? [U] / [CO3]

a). Bombay Stock Exchange
b). Bharat Securities Exchange
c). Bombay Securities Entity
d). Business Stock Exchange

14. What is a "Fill or Kill" (FOK) order? [U] / [CO3]

a). An order that must be executed immediately in its entirety or be cancelled.
b). An order that remains open for the entire trading day.
c). A stop-loss order that converts into a limit order.
d). A special type of market order with guaranteed execution.

15. The mutual fund that allows the investor to enter and exit at any point of time is called [An] / [CO4]

a). Lock in Fund
b). Open ended Fund
c). Close ended fund
d). Interval fund

16. Who regulates commodity derivatives in India? [U] / [CO4]

a). Securities and Exchange Board of India
b). Forward Markets Commission

c). Multi Commodity Exchange Clearing Corporation
d). NSE Clearing Limited

17. Which types of derivative contracts are mainly traded in the MCX platform? [U] / [CO4]

a). Futures and Options
b). Futures and Forwards

c). Options and Swaps
d). Futures and Swaps

18. The seller of an option is also known as: [U] / [CO4]

a). Holder
b). Writer

c). Buyer
d). Trader

19. Mr. Tom,a conservative investor,wants to make more returns than bank rates. Suggest a good investment option for him. [An] / [CO4]

a). Investments in Fixed deposits.
b). Investment in Preference shares

c). Investment in Mutual Funds
d). Investment in Debentures

20. A Call Option gives the buyer the right to: [U] / [CO4]

a). Sell the underlying asset
b). Buy the underlying asset

c). Hold the underlying asset
d). Lend the underlying asset

21. Which of the following documents can be used as proof of address? [U] / [CO5]

a). Voter ID Card
b). Ration Card

c). Utility Bill
d). All of the above

22. Which online platform does SEBI provide for lodging investor complaints? [U] / [CO5]

a). SCORES (SEBI Complaints Redress System)
b). GRAM (Grievance Resolution Mechanism)

c). INVEST (Investor Support Tool)
d). PRISM (Protection and Risk System Management)

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Consider the following statements and choose the most appropriate alternative. Statement I - Money market has geographical constraints Statement II - Money market is a wholesale market of short term debt [U] / [CO1]

a). Statement I is true, and Statement II is false

b). Statement I is false, and Statement II is true

c). Both statements are false.

d). Both statement are true

24. Which of the following statements about SEBI's development function is TRUE? [U] / [CO1]

a). SEBI manages foreign exchange reserves.

b). SEBI educates and train investors.

c). SEBI sets interest rates for commercial banks.

d). SEBI issues banking licences.

25. Formal document that outlines the conditions of a debenture and specifies the rights of the debenture holders and obligations of the issuing company: [U] / [CO1]

a). Irredeemable debenture

b). Debenture Deed

c). Promissory Note

d). Redeemable debenture

26. Which of the following is not an organized sector in India? [U] / [CO1]

a). Nationalized Banks

b). Regional Rural Banks

c). Cooperative Banks

d). Chits and Money lenders

27. Consider the following statements and choose the most appropriate alternative. Statement I: An IPO allows a company to raise capital by selling its shares to the public. Statement II: Underwriters take on the risk of buying unsold shares during an IPO. [U] / [CO2]

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

28. What distinguishes Options from Futures? [U] / [CO4]

a). Options require initial margin payments, while Futures do not.

b). Options are bilateral contracts, while Futures are standardized contracts.

c). Options provide a right but not an obligation, while Futures are binding contracts.

d). Options are traded only on OTC markets, while Futures are traded on exchanges.

29. Which of the following statements about the primary market is correct? [An] / [CO2]
(i) It deals with already issued shares (ii) It provides instant liquidity to investors (iii) It facilitates direct investment in companies

a). (i) only

b). (i) and (iii) only

c). (i), (ii) and (iii)

d). (iii) only

30. What type of offer document is normally used in the case of a book-building public issue? [An] / [CO2]

a). Red Herring Prospectus

b). Abridged Prospectus

c). Shelf Prospectus

d). Placement Document

31. If promotera want to reduce their stake in the company without raising new capital, they would typically choose: [An] / [CO2]

a). OFS

b). Preferential Issue

c). Rights Issue

d). QIP

32. What is a "Listing agreement"? [U] / [CO3]

a). An agreement between a company and its customers.

b). An agreement between a company and its suppliers.

c). An agreement between a company and a stock exchange.

d). An agreement between a company and its employees.

33. Which of the following statements about a Lame Duck are correct? (i) A Lame Duck is a trader who is unable to pay dues. (ii) Lame Ducks are often traders who speculated incorrectly. (iii) A Lame Duck always [U] / [CO3]

recovers losses in the long run. (iv) Lame Ducks generally make safe and conservative investments.

a). Only (i) and (ii) are correct
b). Only (ii) and (iv) are correct
c). Only (i) and (iii) are correct
d). Only (iii) and (iv) are correct

34. Which of the following statements is true about a depository ? [U] / [CO3]

a). It acts as a broker in securities transactions
b). It guarantees returns on investment
c). It does not hold securities physically
d). It is primarily responsible for investment banking

35. What is the significance of index maintenance? [U] / [CO3]

a). To keep the index updated and accurate.
b). To increase stock prices.
c). To reduce trading volume.
d). To decrease market volatility.

36. Consider the following statements. Assertion (A) and Reasoning (R). Choose the correct alternative. Assertion (A) : A contract note acts as legal proof of a trade executed in the stock market. Reason (R) : It is issued by depositories to investors after trade settlement [U] / [CO3]

a). Both A and R are true, and R is the correct explanation for A
b). Both A and R are true, but R is NOT the correct explanation for A
c). A is true, but R is false
d). A is false, but R is true

37. Which of the following statements accurately reflects the role of speculation in creating asset bubbles? [U] / [CO3]

a). Speculation has no impact on asset bubbles.
b). Asset bubbles are only created by institutional investors, not speculators.
c). Speculation prevents asset bubbles by promoting rational market behavior.
d). Speculation can amplify price increases, leading to unsustainable asset valuations.

38. Which sectoral index reflects the performance of companies in the Indian consumer goods sector? [U] / [CO3]

a). Nifty Metal
b). Nifty FMCG

c). Nifty Infra

d). Nifty Realty

39. What is the primary method used to calculate both SENSEX and NIFTY? [U] / [CO3]

a). Simple average

b). Weighted average

c). Free-float market capitalization-weighted method

d). Price-weighted method

40. Which of the following is true for Currency Swaps? [U] / [CO4]

a). Principal amounts are not exchanged.

b). Payments are only made at the start of the contract.

c). Interest payments and principal amounts are exchanged in different currencies.

d). It is a standardized financial instrument.

41. From the following identify the risk involved in derivative contracts I) Counter-party risk II) Interest rate risk III) Agency Risk IV) Foreign Exchange Risk [U] / [CO4]

a). I and II only

b). II and IV only

c). I and III only

d). I only

42. Which of the following scenarios demonstrates the use of an InvIT? [A] / [CO4]

a). An organization manages income from solar energy projects and pays dividends to unit holders

b). A corporation invests in commercial real estate for long-term growth

c). A firm issues equity shares to build a corporate office

d). A family builds rental properties to earn passive income

43. Which of the following correctly describes the 'Maintenance Margin'? [U] / [CO4]

a). The minimum amount that must be maintained in the margin account.

b). The total amount of the contract value.

c). The amount paid for taking a short position.

d). D. The daily profit earned from a futures contract.

44. Which of the following is NOT a reason for a company to issue Bonus Shares? [An] / [CO2]

a). To improve stock liquidity

b). To reward existing shareholders

c). To raise additional capital

d). To make shares more affordable

45. If a put option has a strike price of Rs.60 and the stock price is Rs.55, what is the moneyness of the option? [A] / [CO4]

a). In the money

b). At the money

c). Out of the money

d). Deep out of the money

46. Consider the following statements and choose the most appropriate alternative. Statement I: The investors can redeem the Mutual fund units at any time to access their money when needed. Statement II: The investors can evaluate their funds via their demat account. [An] / [CO4]

a). Both Statement I and Statement II are True

b). Statement I is True and Statement II is False

c). Statement II is True and Statement I is False

d). Both Statement I and Statement II are False.

47. Consider the following statements and choose the most appropriate alternative. Statement I: A transaction to buy shares is initiated after money is credited to the trading account. Statement II: Only SEBI registered stock brokers can open trading accounts for investors. [U] / [CO5]

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

48. Consider the following statements and choose the most appropriate alternative. Statement I: Stock brokers are the only entities that can directly trade on a stock exchange. Statement II: An investor requires only a trading account to invest in the stock market. [U] / [CO5]

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

49. What should an investor do if their complaint is unresolved within the stipulated time frame on SCORES? [U] / [CO5]

a). File a follow-up complaint through the same platform

b). Contact SEBI directly for escalation

c). Approach the company's arbitration panel for dispute resolution

d). Accept the company's response without further action

[2x25 = 50]

25901632 **B**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCCOM100 - INDIAN SECURITIES MARKET : STRUCTURE AND OPERATIONS

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. Which types of derivative contracts are mainly traded in the MCX platform? [U] / [CO4]

   a). Futures and Options b). Futures and Forwards

   c). Options and Swaps d). Futures and Swaps

2. A Call Option gives the buyer the right to: [U] / [CO4]

   a). Sell the underlying asset b). Buy the underlying asset

   c). Hold the underlying asset d). Lend the underlying asset

3. Underwriters in the primary market: [An] / [CO2]

a). Ensure the sale of securities b). Set the IPO price

c). Trade in secondary markets d). Act as investors

4. The mutual fund that allows the investor to enter and exit at any point of time is called [An] / [CO4]

a). Lock in Fund b). Open ended Fund

c). Close ended fund d). Interval fund

5. Who regulates commodity derivatives in India? [U] / [CO4]

a). Securities and Exchange Board of India b). Forward Markets Commission

c). Multi Commodity Exchange Clearing Corporation d). NSE Clearing Limited

6. Which of the following Acts governs public issues in India? [An] / [CO2]

a). Income Tax Act, 1961 b). Banking Regulation Act, 1949

c). Companies Act, 2013 d). Foreign Exchange Management Act (FEMA)

7. What is a "Fill or Kill" (FOK) order? [U] / [CO3]

a). An order that must be executed immediately in its entirety or be cancelled. b). An order that remains open for the entire trading day.

c). A stop-loss order that converts into a limit order. d). A special type of market order with guaranteed execution.

8. Which online platform does SEBI provide for lodging investor complaints? [U] / [CO5]

a). SCORES (SEBI Complaints Redress System) b). GRAM (Grievance Resolution Mechanism)

c). INVEST (Investor Support Tool) d). PRISM (Protection and Risk System Management)

9. CDSL stands for [U] / [CO3]

a). Central Securities Depository Limited
b). Central Stock Depository Limited
c). Central Depository Services Limited
d). Central Digital Securities Limited

10. Mr. Tom,a conservative investor,wants to make more returns than bank rates. Suggest a good investment option for him. [An] / [CO4]

a). Investments in Fixed deposits.
b). Investment in Preference shares
c). Investment in Mutual Funds
d). Investment in Debentures

11. Which of the following documents can be used as proof of address? [U] / [CO5]

a). Voter ID Card
b). Ration Card
c). Utility Bill
d). All of the above

12. Which of the following is a finacial asset? [U] / [CO1]

a). Gold
b). Silver
c). Land
d). Share

13. Any asset which holds capital and can be traded in the market is refered to as ..... [U] / [CO1]

a). Financial asset
b). Financial market
c). Real Asset
d). Financial instrument

14. Private placements are often preferred over public offerings because: [U] / [CO2]

a). They are more expensive
b). They involve fewer regulatory requirements
c). They have unlimited investors
d). They require mass advertising

15. Which of the following is or are the various sub markets of financial markets? [U] / [CO1]

a). Derivatives market
b). Foreign exchange market
c). Debt Market
d). All of the other options

16. Which of the following trading mechanisms is used for quick and frequent trading within a single day? [U] / [CO3]

a). Delivery trading
b). Futures trading
c). Intraday trading
d). Options trading

17. The seller of an option is also known as: [U] / [CO4]

a). Holder
b). Writer
c). Buyer
d). Trader

18. What does BSE stand for? [U] / [CO3]

a). Bombay Stock Exchange
b). Bharat Securities Exchange
c). Bombay Securities Entity
d). Business Stock Exchange

19. In a fixed price issue, what is disclosed in advance? [U] / [CO2]

a). Final Issue Price
b). Price Band
c). Subscription Rate
d). Market Premium

20. Which indian stock exchange has played a large role in the growth of derivatives trading within India? [U] / [CO3]

a). Bangalore Stock exchange
b). Bombay Stock Exchange.
c). National Stock Exchange.
d). Ahmedabad Stock exchange.

21. An unsecured debenture means..... [U] / [CO1]

a). debenture secured by assets of the issuing company
b). debenture which can be converted
c). a debenture not backed by assets of the company
d). a debenture without interest

22. Which of the following is NOT a characteristic of the primary market? [An] / [CO2]

a). Direct selling of securities to investors
b). Trading of existing securities
c). Raising fresh capital
d). Facilitated by investment banks

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. What is a "Listing agreement"? [U] / [CO3]

a). An agreement between a company and its customers.

b). An agreement between a company and its suppliers.

c). An agreement between a company and a stock exchange.

d). An agreement between a company and its employees.

24. Which of the following statements is true about a depository ? [U] / [CO3]

a). It acts as a broker in securities transactions

b). It guarantees returns on investment

c). It does not hold securities physically

d). It is primarily responsible for investment banking

25. Consider the following statements and choose the most appropriate alternative. Statement I: An IPO allows a company to raise capital by selling its shares to the public. Statement II: Underwriters take on the risk of buying unsold shares during an IPO. [U] / [CO2]

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

26. Which of the following statements about the primary market is correct? (i) It deals with already issued shares (ii) It provides instant liquidity to investors (iii) It facilitates direct investment in companies [An] / [CO2]

a). (i) only

b). (i) and (iii) only

c). (i), (ii) and (iii)

d). (iii) only

27. If a put option has a strike price of Rs.60 and the stock price is Rs.55, what is the moneyness of the option? [A] / [CO4]

a). In the money

b). At the money

c). Out of the money

d). Deep out of the money

28. Which of the following correctly describes the 'Maintenance Margin'? [U] / [CO4]

a). The minimum amount that must be maintained in the margin account.

b). The total amount of the contract value.

c). The amount paid for taking a short position.

d). D. The daily profit earned from a futures contract.

29. Which of the following scenarios demonstrates the use of an InvIT? [A] / [CO4]

a). An organization manages income from solar energy projects and pays dividends to unit holders

b). A corporation invests in commercial real estate for long-term growth

c). A firm issues equity shares to build a corporate office

d). A family builds rental properties to earn passive income

30. Consider the following statements. Assertion (A) and Reasoning (R). Choose the correct alternative. Assertion (A) : A contract note acts as legal proof of a trade executed in the stock market. Reason (R) : It is issued by depositories to investors after trade settlement [U] / [CO3]

a). Both A and R are true, and R is the correct explanation for A

b). Both A and R are true, but R is NOT the correct explanation for A

c). A is true, but R is false

d). A is false, but R is true

31. Which of the following statements about SEBI's development function is TRUE? [U] / [CO1]

a). SEBI manages foreign exchange reserves.

b). SEBI educates and train investors.

c). SEBI sets interest rates for commercial banks.

d). SEBI issues banking licences.

32. What should an investor do if their complaint is unresolved within the stipulated time frame on SCORES? [U] / [CO5]

a). File a follow-up complaint through the same platform

b). Contact SEBI directly for escalation

c). Approach the company’s arbitration panel for dispute resolution

d). Accept the company’s response without further action

33. From the following identify the risk involved in derivative contracts I) Counter-party risk II) Interest rate risk III) Agency Risk IV) Foreign Exchange Risk [U] / [CO4]

a). I and II only
b). II and IV only
c). I and III only
d). I only

34. What type of offer document is normally used in the case of a book-building public issue? [An] / [CO2]

a). Red Herring Prospectus
b). Abridged Prospectus
c). Shelf Prospectus
d). Placement Document

35. What distinguishes Options from Futures? [U] / [CO4]

a). Options require initial margin payments, while Futures do not.
b). Options are bilateral contracts, while Futures are standardized contracts.
c). Options provide a right but not an obligation, while Futures are binding contracts.
d). Options are traded only on OTC markets, while Futures are traded on exchanges.

36. What is the primary method used to calculate both SENSEX and NIFTY? [U] / [CO3]

a). Simple average
b). Weighted average
c). Free-float market capitalization-weighted method
d). Price-weighted method

37. Which of the following is true for Currency Swaps? [U] / [CO4]

a). Principal amounts are not exchanged.
b). Payments are only made at the start of the contract.
c). Interest payments and principal amounts are exchanged in different currencies.
d). It is a standardized financial instrument.

38. Which of the following is NOT a reason for a company to issue Bonus Shares? [An] / [CO2]

a). To improve stock liquidity
b). To reward existing shareholders

c). To raise additional capital

d). To make shares more affordable

39. What is the significance of index maintenance? [U] / [CO3]

a). To keep the index updated and accurate.

b). To increase stock prices.

c). To reduce trading volume.

d). To decrease market volatility.

40. If promotera want to reduce their stake in the company without raising new capital, they would typically choose: [An] / [CO2]

a). OFS

b). Preferential Issue

c). Rights Issue

d). QIP

41. Consider the following statements and choose the most appropriate alternative. Statement I: Stock brokers are the only entities that can directly trade on a stock exchange. Statement II: An investor requires only a trading account to invest in the stock market. [U] / [CO5]

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

42. Consider the following statements and choose the most appropriate alternative. Statement I - Money market has geographical constraints Statement II - Money market is a wholesale market of short term debt [U] / [CO1]

a). Statement I is true, and Statement II is false

b). Statement I is false, and Statement II is true

c). Both statements are false.

d). Both statement are true

43. Which of the following is not an organized sector in India? [U] / [CO1]

a). Nationalized Banks

b). Regional Rural Banks

c). Cooperative Banks

d). Chits and Money lenders

44. Consider the following statements and choose the most appropriate alternative. Statement I: A transaction to buy shares is initiated after [U] / [CO5]

money is credited to the trading account. Statement II: Only SEBI registered stock brokers can open trading accounts for investors.

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

45. Formal document that outlines the conditions of a debenture and specifies the rights of the debenture holders and obligations of the issuing company: [U] / [CO1]

a). Irredeemable debenture

b). Debenture Deed

c). Promissory Note

d). Redeemable debenture

46. Which of the following statements about a Lame Duck are correct? (i) A Lame Duck is a trader who is unable to pay dues. (ii) Lame Ducks are often traders who speculated incorrectly. (iii) A Lame Duck always recovers losses in the long run. (iv) Lame Ducks generally make safe and conservative investments. [U] / [CO3]

a). Only (i) and (ii) are correct

b). Only (ii) and (iv) are correct

c). Only (i) and (iii) are correct

d). Only (iii) and (iv) are correct

47. Which sectoral index reflects the performance of companies in the Indian consumer goods sector? [U] / [CO3]

a). Nifty Metal

b). Nifty FMCG

c). Nifty Infra

d). Nifty Realty

48. Which of the following statements accurately reflects the role of speculation in creating asset bubbles? [U] / [CO3]

a). Speculation has no impact on asset bubbles.

b). Asset bubbles are only created by institutional investors, not speculators.

c). Speculation prevents asset bubbles by promoting rational market behavior.

d). Speculation can amplify price increases, leading to unsustainable asset valuations.

49. Consider the following statements and choose the most appropriate alternative. Statement I: The investors can redeem the Mutual fund units at any time to access their money when needed. Statement II: The investors can evaluate their funds via their demat account. [An] / [CO4]

a). Both Statement I and Statement II are True

b). Statement I is True and Statement II is False

c). Statement II is True and Statement I is False

d). Both Statement I and Statement II are False.

[2x25 = 50]